SourceCo



— FOR LAW FIRM OWNERS

# What law firms sell for in 2026

The ranges buyers use, a worked example, and the four things that move your number.

Swipe →

SMALL PRACTICES

# Most small practices sell on fees

**0.5x to 3x**

a year's gross fee revenue. That's Clio's rule of thumb. Most land between 0.5x and 1.5x.

Sources: Clio, law firm valuation rule of thumb; LeanLaw. A rule of thumb, not an appraisal.

PROFITABLE FIRMS

# Profitable firms sell on earnings

**Smaller PI and boutique firms**
Adjusted EBITDA, owner pay at market

**3x to 5x**

**Larger firms**
Usually with a quality of earnings review

**High single digits**

**Largest PI platforms**
Strong brand, diversified marketing

**7x to 10x**

Source: Private Equity Legal Alliance, PI firm investment guide, 2026. Ranges are a practitioner estimate.

WORKED EXAMPLE

# A $3.0M personal injury firm

| | |
|---|---|
| Fee revenue | **$3.0M** |
| Profit before partner pay | **$1.4M** |
| Replace the founder's seat | **minus $500K** |
| Adjusted EBITDA | **$900K** |
| At 3x to 5x EBITDA | **$2.7M to $4.5M** |

Open cases are often paid on top, as they resolve.

Illustrative firm. Multiples: Private Equity Legal Alliance 2026; CSuite Financial Partners, PI firm valuation.

WHAT MOVES THE NUMBER

# Same revenue, different price

1. **How much depends on you**
   Work that follows the founder can walk out the door. Spread the relationships.

2. **Where cases come from**
   Marketing-driven intake carries more transferable goodwill than one attorney's referrals.

3. **Staying on**
   Staying as of counsel for one to three years typically earns a premium.

4. **Starting early**
   Building transferable goodwill can take 12 to 36 months.

---

Sources cited on sourcecodeals.com law firm guides.

WHO BUYS

# Three kinds of buyers

### Another lawyer or firm

Under Rule 1.17: the whole practice or a whole practice area, with written notice to clients

### A merger partner

59 law firm mergers in 2025, up 18%. 76% involved a firm of 5 to 20 lawyers.

### An investor-backed services company

You keep owning the law firm and hand off the business side, where state rules allow

Sources: ABA Model Rule 1.17; Fairfax Associates, 2025 law firm mergers.

HOW YOU'D BE PAID

# Two paydays, not one

**Cash at close**
For the business side of the firm

**70%**

**Rollover equity**
In the services company. It can grow as the platform adds firms.

**30%**

Smaller sales often use earnouts or a seller note instead. Larger deals usually start with a quality of earnings review, about $30K to $50K.

---

Split is one 2026 guide's illustration, not a standard. Source: Private Equity Legal Alliance, 2026.

SourceCo



— YOUR NUMBER

# Get your range in about 90 seconds

The law firm valuation calculator shows your range, the buyer most likely to pay it, how you'd be paid, and your state's rules. Free and confidential.

**sourcecodeals.com → Free tools**

---

Directional estimates, not an appraisal or legal advice. SourceCo is paid by buyers; owners pay nothing.